MONARCH INSURANCE COMPANY, INC.

15/F Citibank Tower, 8741 Paseo de Roxas, Makati City
Tel.: 848-0188 / Fax: 752-2200
TIN No.: 000-479-269-V/NV

Attached to and forming part of **CGL Policy No.** _____

COMPREHENSIVE GENERAL LIABILITY POLICY

The MONARCH INSURANCE CO., INC., (hereinafter called "the Company") agrees with the insured, named in the declaration made a part hereof, in consideration of the payment of the premium and in reliance upon the statements in the declarations and subject to the limits of liability, exclusions, conditions and other terms of this Policy.

IN WITNESS WHEREOF, a duly authorized officer of the Company, has set his hand hereunto in Makati, Metro Manila, Philippines, this .....day of ....., 20.....

Documentary Stamps to the value stated above have been affixed and properly cancelled on the office copy of this Policy.

IMPORTANT NOTICE

The Insurance Commissioner, with offices in Manila, Dagupan, Cebu and Davao is the Government official in-charge of the faithful execution and enforcement of all laws relating to insurance and has supervision over insurance companies. He is ready at all times to render assistance in settling any controversy between an insurance company and a policy holder relating to insurance matters.

SECTION I – THE COVER

The insured named in the Schedule ("the insured") has supplied information in connection with the written. proposal (which shall be basis of the contract and to be incorporated herein) and applied for coverage to the Company named in the Schedule ("the Company") and subject to the payment of premium, the Company agrees with the named insured as follows:

1. INSURING AGREEMENT
   The Company, subject to the terms, limitations, definitions, exceptions and conditions of this Policy will pay to or on behalf of the Insured all sums which the Insured shall become legally liable to pay, by reason of liability imposed on the insured by the law, for compensation (excluding punitive or exemplary damage)in respect of:
   1. Bodily Injury 2. Property Damage
   occurring during the period of insurance within the geographical limits as a result of an occurrence and happening in connection with the Insured's business as described in the Schedule.
2. LIMITS OF LIABILITY
   The liability of the Company for all compensation under this Policy as a result of any one occurrence shall not exceed the limits of liability specified in the schedule.
3. DEFENSE AND LITIGATION EXPENSES
   The Company shall have the right and duty to defend any suit against the Insured seeking damages on account of such bodily injury or property damage, even if any of the allegations of the suit are groundless, false or fraudulent, and may make such investigation and settlement of any claim or suit as it deems expedient, but the Company shall not be obligated to pay any claim or judgement or to defend any suit after the applicable limit of the Company's liability has been exhausted by payment or judgment or settlements.
   The Company will pay with respect of any claims or suit:
   3.1. All expenses incurred by the Insured, all cost taxed against the Insured, in any suit defended by the Company and all interest on the amount of any judgement herein which accrues after entry of the judgement and before the Company has paid or tender or deposited in court that part of the judgement which does not exceed the limit of the Company's liability thereon;
   3.2. Premium on appeal bonds required in any suit, and premiums on bond to release attachment in any suit for an amount not in excess of the applicable limit of liability of this Policy.
4. JURISDICTION

The indemnity provided by this Policy shall apply in respect of
a. Compensation resulting from judgement delivered by or obtained from a court of competent jurisdiction in the PHILIPPINES only:

SUPPLEMENTARY FIRST AID PAYMENTS

The Company will pay, in addition to the applicable limit of liability, all expenses incurred by the insured for first aid to others at the time of an occurrence, for bodily injury to which this policy applies but expenses for first aid to be paid under this policy shall be limited to the amount stipulated in the schedule.

SECTION II – EXCEPTIONS

1. Products Liability
   Bodily injury and/or Property Damage caused by the nature, condition or quality of the insured's Product after they have ceased to be in the actual physical custody or under the control of the insured, but this Exception (1) shall not apply to products sold or supplied at from a canteen provided by the insured primarily for the use of the insured's Employees.
2. EMPLOYER'S LIABILITY
   Bodily Injury to any Employee in the service of the insured or claiming compensation from the insured under any workman's compensation law or similar legislation as a workman in the service of the subcontractor or the insured.
3. CONTRACTUAL LIABILITY
   a. Any liability that may arise out of the non-performance, non-completion or delay in completion of any contract or agreement or the payment of penalty sum, fines, or liquidated damages.
   b. Any liability assumed by the insured under any contract, warranty, or agreement unless such liability would have attached to the insured notwithstanding such contract, warranty, or agreement.
   c. Any liability assumed by the insured under any contract, warranty, or agreement by reason of waiver or limitation of the insured's right of recovery against any other party.
4. PROFESSIONAL LIABILITY
   Claims arising out of a breach of the duty owed in a professional capacity by the insured and/or person whose breaches of such duty the insured maybe legally liable. Consequently, it is hereby understood and agreed that the Company shall not be liable for claims in respect of:
   a. Any welfare or first aid treatment provided by the insured on the insured's premises.
   b. Property damage occurring as a consequence of faulty or wrongful advice rendered by the insured.
   c. Property damage to any properly or product for which the insured provided any design, plan specification, formula and/or pattern.
   d. The direct or indirect activities of the insured acting as a consultant or professional adviser to render services or to provide design, plan specification, formula and or pattern.
   e. Bodily injury or Property Damage of any firm, group or interest.
      i. owned controlled or managed by the insured, or
      ii. which owns, controls or manages the insured's business
5. INTENTIONAL ACT OF THE INSURED
   bodily injury and/or Property Damage expected or intended from the standpoint of the insured. This exception does not apply to bodily injury resulting from the use of reasonable force to protect persons property.
6. PROPERTY IN PHYSICAL AND/OR LEGAL CONTROL
   Property damage to property owned or in the care, custody or legal control of the insured.
7. WATERCRAFT, AIRCRAFT, OIL DRILLING PLATFORM
   a. The ownership, existence, use, operation, loading or unloading by or on behalf of the insured of:
      - any Watercraft, Aircraft, Hovercraft, Oil Drilling Platform or rig.
      - any premises for the purpose of an Airport or Aircraft Landing Strip and all operation necessary or incidental to or
   b. The repair, maintenance, serving of or installation work in or on any Watercraft, Aircraft or other aerial device, oil drilling platform or rig.
8. LOSS OF USE
   Loss of use of ANY property which has not been physically injured or destroyed.
9. SUBSIDENCE
   Property Damage to land, building, or other structure caused by piledriving, subsidence or demolition, or resulting from the removal or weakening or support to such land, building, or other structure or claims arising in consequence of such property damage.
10. ASBESTOS
    Bodily injury or Property Damage caused by or arising directly or indirectly out of or in connection with:
    a. Any mining, handling, processing, manufacture, sale, transport, distribution, storage or use of asbestos product or asbestos contained in any product.
    b. Any installation, removal or treatment of asbestos materials.
11. PREGNANCY/FETUS
    a. Any injury caused by products whose main function is to prevent, induce, or sustained pregnancy.
    b. Abnormalities in pregnancy, injury or to anomalies of the ovum, embryo, or fetus, congenital anomalies, or disease resulting from any products whatsoever. Unless the insured furnishes proof that the injury, damage, or loss results exclusively from a mistake or deficiency in manufacture or supply, and not in design, formula, specifications, testing or instruction for use.
12. POLLUTION
    bodily injury or Property Damage arising out of the discharge, dispersal, release of escape of smoke, vapors, soot, fumes, acids, alkalis, toxic chemicals, liquid or gases, waste materials or other irritants, contaminants, or pollutants into or upon land, the atmosphere or any watercourse or body of water. The Company shall not be liable for any cost or expense arising out of any government demand or request that an insured test for assess, monitor, clean-up, remove, contain, treat, detoxify or neutralize any such irritants, contaminants or pollutants. The Company shall not have the duty to defend any claim or suit seeking to impose such cost, expense, liability for such damages, or any other relief.
13. RADIOACTIVE CONTAMINATION
    Any liability of whatsoever nature directly or indirectly caused by or contributed to by or arising from
    a. Ionizing radiation or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel. For the purpose of this exception only, combustion shall include any self-sustaining process of nuclear fission.
    b. Nuclear weapons materials.
14. FINES OR PENALTIES
    Claims for fines or penalties imposed by statutes or regulations.
15. WAR
    Any consequence of war, invasion, act of foreign enemy, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection or military or usurped power, terrorism and subversion.

SECTION III – DEFINITIONS

When used in the Policy the following definitions shall apply:

1. BODILY INJURY shall mean injury, sickness, disease and mental injury or death resulting therefrom.
2. PROPERTY DAMAGE shall mean physical injury to or loss or destruction of tangible property including loss of use resulting therefrom.
3. BUSINESS SHALL INCLUDE
   a. All activities and operations of the insured designated in the Schedule;
   b. The ownership of premises;
   c. The provision and management of canteen for the benefit of Employees;
   d. First aid, Fire, and Ambulance service;
   e. Private work carried out by any Employee with the consent of the insured or any director, partner or senior official of the insured.
4. GEOGRAPHICAL LIMIT
   The insurance under this Policy shall apply only within the PHILIPPINES.
5. INSURED SHALL INCLUDE
   a. All Subsidiary Companies of the Insured or any other entity over which the insured assumes active management whose premises and operations are situated within the PHILIPPINES ONLY and details of which have been lodged with the company.
   b. In the event of the death of the insured then the personal representative of the insured in respect of liability incurred by the insured per condition 10, Section IV of this Policy.
   c. Any principal for whom the insured is carrying out a contract away from the insured's own premises but only to the extent required by such contract and only arising out of the performance by the insured of such contract and at the request of the insured.
   d. Any director, partner, employee shareholder of the insured whilst acting on behalf of or the course of his employment or engagement by the Insured in respect of liability for which the insured would have been entitled to claim under this insurance if the claim had been made against the insured.
   e. Any officer or member of the insured's canteen, first aid, fire or ambulance services while acting in his respective capacity as such.
   f. Any member of insured's family up to second degree of consanguinity; insured's house help or any person under insured's employment.
   Provided that each person shall, though they were the Insured named in the Schedule, fulfill and be subject to the terms and exceptions and conditions of this Policy so far as they may be applied.
6. OCCURRENCE
   Any event, including continuous or repeated exposure to substantially the same general condition which result in bodily injury or property damage neither expected nor Intended from the standpoint of the Insured. All occurrence arising directly from one source or original cause shall be deemed ONE OCCURRENCE.
   In the evenT the name insured and the company cannot agree when the bodily injury or property damage took place then:
   a. Bodily Injury will be deemed to have taken place when the claimant first consulted a qualified practitioner in respect of such injury; and
   b. Property Damage will be deemed to have taken place when it first became evident to the claimant, even if the cause was unknown.
7. INSURED'S PRODUCT
   Any goods manufactured, constructed, erected, installed, repaired, serviced treated, sold, supplied or distributed (Including containers thereof) in the course of the business designated in schedule after it has ceased to be in the physical custody or under the legal control of the insured.
8. VEHICLE
   Any type of machine designated to travel on wheels or on self laid tracks and to be propelled by any power other than manual or animal power.
9. WATERCRAFT
   Any vessel, craft or thing made or intended to float on or in or travel on or through water.
10. AIRCRAFT
    Any vessels, craft or thing made or intended to fly or move in or through the atmosphere or space.
11. TURNOVER (GROSS SALES)
    The gross amount of money charged by the insured or by other trading under his name during the period of insurance in the course of the business.
12. FIRST AID EXPENSE
    For the purpose of this policy shall be defined as medical and/or surgical expenses incurred for the purpose of saving or protecting human life, within 24 hours from the time of occurrence.
13. AGGREGATE LIMIT
    The maximum cumulative limit of liability that the Company shall pay in anyone policy period for an occurrence or various occurrence covered by this policy.
14. TERRORISM
    Any act of terrorism, political, or otherwise, and includes any use of violence for the purpose of putting the public or any section of the public fear.

SECTION IV – CONDITION

1. CONTRACT CONTENTS
   This Policy including the schedule, endorsement and proposal shall be read together as one contract and any word or expression to which a specific meaning has been attached in any part of this Policy shall bear that meaning wherever it may appear.
2. ALTERATIONS/CHANGES
   The insured shall give immediate notice to the company of any alteration which materially affects the risk. Notice to any agent or knowledge possessed by any agent or by any other person shall not effect a waiver or a change in any part of this Policy or stop the company from asserting any right under the terms of this policy nor shall the terms of this policy be waived or changed except by endorsement issued to form part of this policy and signed by an authorized representative of the company.
3. CLAIMS
   a. The insured shall give written notice to the company of any bodily injury, property damage or claim proceeding impending prosecution inquest or fatal accident inquiry immediately when the same shall have come to the knowledge of the insured or his representative.
   b. The insured shall not admit liability for or negotiate settlement of any claim without the written consent of the company which shall be entitled to conduct in the name of the insured the defense or settlement of any claim to prosecute for its own benefits any claim for indemnity or damages or otherwise and shall have full discretion in the conduct of any proceedings and the settlement of any claim and the insured shall give all such information and assistance as the Company may require.
   c. The insured shall not, except at this own expense, voluntarily make any payment, assume any obligation or incur any expense other than for such immediate medical and surgical relief to others as shall be imperative at the time of occurrence.
   d. The insured shall retain unaltered and unrepaired any machinery, plant, appliances, or things in any way causing or connected with any event which may give rise to a claim under this policy to such time as the company may reasonably require.
   e. If the company is required to indemnify more than one party named in Definition 5 (insured) the liability of the company shall not exceed in all the limits of liability stated in the schedule.
   f. In connection with, any one claim or number or claims occurring in any one period of insurance, the company may at any one period of insurance, at anytime pay the insured the amount of the limits of liability (after deduction of any sum or sums already paid as compensation) or any loss amount for which claims can be settled and thereafter the Company shall be under no further liability under this Policy.
4. FRAUDULENT CLAIM
   If any claim be in any respect fraudulent or in any fraudulent means or devices be used by the insured or any one acting on his behalf to obtain any benefit under this policy, the company shall deny liability in respect to such claim and shall cancel this Policy as hereinafter provided.
5. REASONABLE CARE AND PRECAUTION
   The Insured shall

a) Take all reasonable care
- to employ competent employees
- to maintain all premises, fittings and plant and everything used in business in sound conditions.

b) Take all reasonable precautions to
- prevent bodily injury and property damage
- prevent the manufacture, sale or supply of defective products.

c) Comply with all statutory obligations by-laws or regulations imposed by any public authority for the safety to person or property, particularly concerning the inspection of passenger lifts and steam pressured apparatus.

d) At his own expense take reasonable action to trace, recall or modify any of the products containing any defect or deficiency which defect or deficiency the insured has knowledge of or has reason to suspect.

6. CANCELLATION

This Policy shall not be cancelled by or on behalf of the Company, except in accordance with and pursuant to the provisions of Section 64 and 65 of the Insurance Code of 1978. In the event of such cancellation the Company shall refund the paid premiums less the earned portion thereof to the insured. Likewise, this Policy maybe cancelled on the short rate basis set forth in the short rate cancellation table at the request of the insured.

SHORT RATE CANCELLATION TABLE

In the event, this Policy is surrendered by the Insured for cancellation, the Company shall retain a premium in accordance with the following scale for the time the Policy has been in force.

Number of Months	1	2	3	4	5	6	7	8	9	10	11
Percentage	20	30	40	50	60	70	75	80	85	90	95

7. OTHER INSURANCE

If the insured has other insurance against a loss covered by this policy, the company shall not be liable under his policy for a greater portion of such loss than the limit of liability stated in the declarations bears to the total limit of liability of all valid and collectible insurance against such loss. However, the insurance hereunder shall not apply to claims which occur prior to the effective date of this policy regardless of whether or not discovered during the term of this policy.

8. ACTION AGAINST COMPANY

No action shall lie against the Company unless, as a condition precedent, thereto, the insured shall have fully complied with all the terms of this Policy nor until the amount of the insured's obligation to pay shall have been finally determined either by judgement against the insure actual trial or by written agreement of the insured, the claimant and the Company if a claim be made and rejected and an action or suit be not commenced either in the Insurance Commission or any court of competent jurisdiction within twelve (12) months from receipt or notice of such rejection or in case of arbitration taking place as provided herein, within twelve (12) after due notice of the award made by the arbitration or arbitrators or umpire, the claim shall for all purposes be deemed to have been abandoned and shall not thereafter be recoverable hereunder.

9. DEDUCTIBLE

It is agreed that

a) The Company's obligation to settle claims shall be confined to that part of the compensation in excess of the deductible (see schedule).

b) The Policy conditions shall be unaffected by this deductible.

c) This deductible shall apply only on third party property damage claim.

10. ASSIGNMENT

Assignment of interest under this Policy shall not bind the Company until its consent is endorsed; if however, the named insured shall die or be adjudged bankrupt or insolvent within the period, this policy, unless cancelled, shall if written notice be given to the Company with sixty days after the date of such death or adjudication, cover the named insured's legal representative as the named insured.

11. INSPECTION AND AUDIT

The Compnay shall be permitted to inspect the premises and operation of the Insured to examine and audit the insured's books and record at any time during the policy period and any extension thereof and within three years after the final termination of this policy, as far as they relate to the premium based on the subject matter of this insurance.

12. SUBROGATION

In the event of any payment under this Policy, the Company shall be subrogated to all the insured's right of recovery thereof against any person or organization and the insured shall execute and deliver instrument and papers and do whatever else is necessary to secure such rights. The insured shall do nothing after loss to prejudice such right.

13. DECLARATIONS

By acceptance of this Policy the named insured agrees that the statement in the written proposal are his agreements and representations that this policy is issued in reliance upon the truth of such representation and that this policy embodies all agreements existing between himself and the Company or any of its agents relating to this insurance.

14. RENEWAL CLAUSE

Unless the Company at least forty-five days in advance of the end of the Policy period mails or deliver to the insured at the address shown in the policy notice of its intention not to renew the Policy or to condition its renewal upon reduction of limits or elimination of coverages, the insured shall be entitled to renew the policy upon payment of the premium due on the effective date of renewal.

15. SETTLEMENT OF CLAIM CLAUSE

The amount of any loss or damage for which the Company maybe liable, under this Policy, shall be paid within thirty days after proof of loss is received by the Company and ascertainment of the loss or damage is made either by agreement between the insured and the Company or by arbitration; but if such ascertainment is not had or made within sixty days after such receipt by the Company of the proof of loss, then the loss or damage shall be paid within ninety days after such receipt.

16. ARBITRATION CLAUSE

All differences as to be amount of any loss or damage covered by this Policy shall be referred to the decision of an arbitration to be appointed by the parties in difference or if they cannot agree upon as single arbitrator to the decision of two arbitrator, one to be appointed in writing by each of the parties within thirty (30) days after having been required in writing to do so by either of the parties or in case of disagreement between the arbitrators to the decision of an umpire to be appointed in writing by the arbitrators before entering on the reference and an award by the arbitrators or umpire shall be a condition precedent to any right of action against the Company.

17. RECEIPT OF PAYMENT CLAUSE

Except only in those specific cases where corresponding rules and regulations which are now or may hereafter be in force provide for the payment of the stipulated premiums in periodic installments at fixed percentage , it is hereby agreed, declared and warranted that this Policy shall be deemed effective, valid and binding upon the Company only when the premiums therefore have actually been paid in full and duly acknowledged in a receipt signed by an authorized official or representative of the Company.

18. CIVIL CODE WAIVER

It is HEREBY DECLAIRED AND AGREED that the provision of Article 1250 of the Civil Code of the Philippines. (Republic Act No. 306) which reads:
" In case an extraordinary inflation or deflation of the currency stipulated should supervene, the value of the currency at the time of the establishment of the obligation shall be the basis of payment"...

SHALL NOT APPLY in determining the extent of liability under the provision of this Policy.